آغا خان یونیورسٹی ایگزامینیشن بورڈ

AGA KHAN UNIVERSITY EXAMINATION BOARD

Notes from E-Marking Centre on HSSC-II Banking Annual Examinations 2024

Introduction

This document has been produced for the teachers and candidates of Higher Secondary School Certificate (HSSC) Part II Banking. It contains comments on candidates' responses to the 2024 HSSC-II Examination indicating the quality of the responses and highlighting their relative strengths and weaknesses.

E-Marking Notes

This includes overall comments on candidates' performance on every question and *some* specific examples of candidates' responses that support the mentioned comments. Please note that the descriptive comments represent an overall perception of the better and weaker responses as gathered from the e-marking session. However, the candidates' responses shared in this document represent some specific example(s) of the mentioned comments.

Teachers and candidates should be aware that examiners may ask questions that address the Student Learning Outcomes (SLOs) in a manner that requires candidates to respond by integrating knowledge, understanding and application skills they have developed during the course of study. Candidates are advised to read and comprehend each question carefully before writing the response to fulfil the demand of the question.

Candidates need to be aware that the marks allocated to the questions are related to the answer space provided on the examination paper as a guide to the length of the required response. A longer response will not in itself lead to higher marks. Candidates need to be familiar with the command words in the SLOs which contain terms commonly used in examination questions. However, candidates should also be aware that not all questions will start with or contain one of the command words. Words such as 'how', 'why' or 'what' may also be used.

General Observations

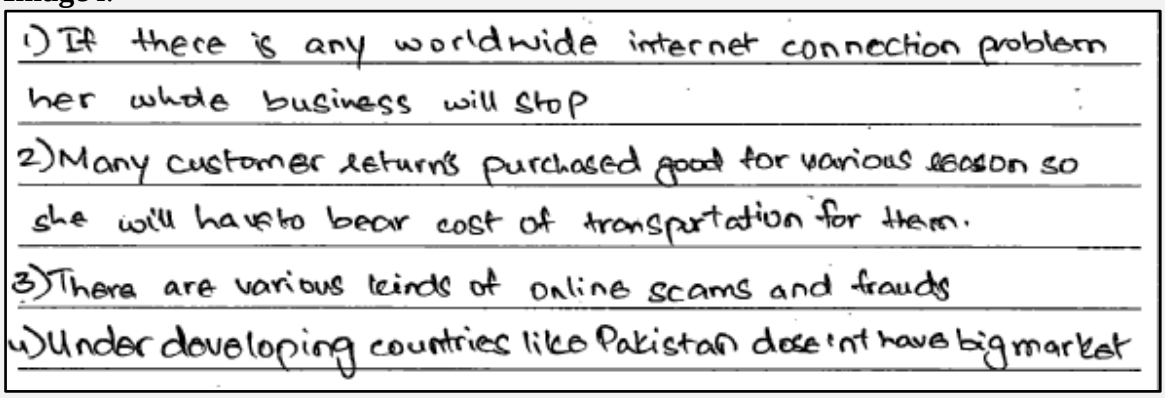
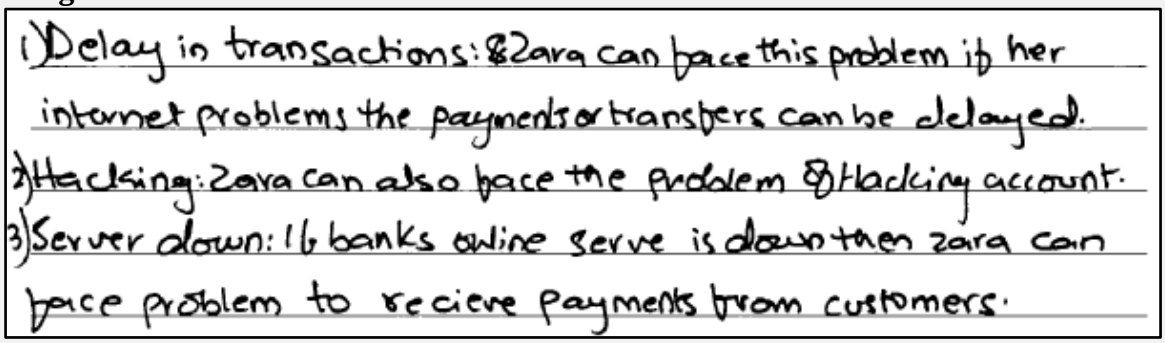
Most candidates performed well on constructed response questions, especially those related to the banking system and the impact of banks on the economic development of a country. Many candidates also excelled when asked to recommend strategies that the central bank could adopt to control inflation. Nonetheless, it is essential for teachers to focus on the following areas and provide candidates with more drills and practice to foster a solid understanding:

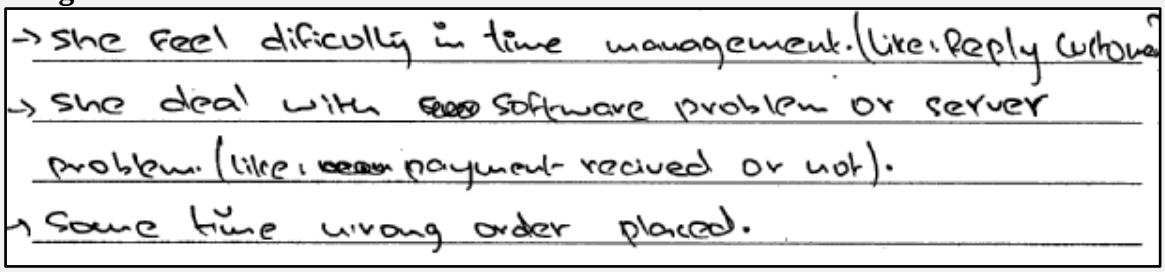
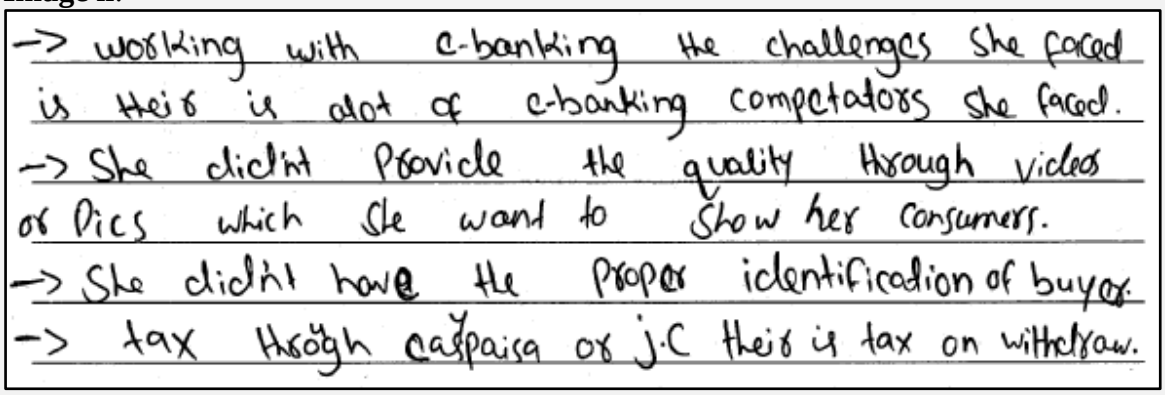
- Proper practice is required to ensure a thorough understanding of the command words.
- Illustrate the clear distinction between the different functions performed by central banks and commercial banks for various parties.
- Understand the fundamental properties of different negotiable instruments, such as bills of exchange, cheques, and promissory notes.
- A clear understanding of Islamic Banking.

Note: Candidates' responses shown in this report have not been corrected for grammar, spelling, format, or information.

DETAILED COMMENTS

Constructed Response Questions (CRQs)

Question No. 1	
Question Text	Zara owns an online store. She mostly collects orders through social media platforms and websites. To facilitate her customers, she offers various transactional modes, online banking or other online money transfer applications (for example: easypaisa and jazzcash). Discuss any THREE challenges she might face while working with e-banking.
SLO No.	1.6.3
SLO Text	Discuss the advantages and disadvantages of e-banking
Max Marks	3
Cognitive Level	U*
Checking Hints	Give ONE mark for discussing each challenge (THREE required).
Overall Performance	Most candidates showed only a fair knowledge and did not fully address the difficulties' intricacies. However, a few candidates either gave scant responses or failed to address the requirements of the question, which led to low or no scores.
Description of Better Responses	Better responses were thoughtfully structured, with a distinct bullet addressing each challenge. The responses were simple to understand and gave a clear explanation of the consequences of each. These responses provided precise, concise information on every challenge faced by Zara. Using real-world examples, candidates provided in-depth explanations of issues like transaction costs, security dangers, and technical difficulties.
Images of Better Response	**Image i**:  1) If there is any worldwide internet connection problem her whole business will stop 2) Many customer returns purchased good for various reason so she will have to bear cost of transportation for them. 3) There are various teinds of online scams and frauds 4) Under developing countries like Pakistan dose'nt have big market **Image ii**:  1) Delay in transactions: Zara can face this problem if her internet problems the payments or transfers can be delayed. 2) Hacking: Zara can also face the problem of Hacking account. 3) Server down: If banks online serve is down then zara can face problem to reciere payments from customers.
Description of Weaker Responses	Some candidates provided brief, superficial responses without discussing how the challenges could impact Zara's business. These responses typically addressed only one or two challenges or did not explain them adequately. The responses often missed the third challenge or offered incomplete descriptions.

Images of Weaker Response	**Image i**:  -> she feel dificully in time management. (like: Reply culture) -> she deal with ~~same~~ software problem or server problem. (like: ~~same~~ payment recived or not). -> some time wrong order placed. **Image ii**:  -> working with e-banking the challenges she faced is their is alot of e-banking competators she faced. -> She didnt provide the quality through videos or pics which she want to show her consumers. -> She didnt have the proper identification of buyer. -> tax thrugh easypaisa or j.C their is tax on withdraw.

Suggestions for improvement (Highlight all that apply)

Maximising SLO Achievement	Preferred Pedagogy** Used for this SLO	Assessment Strategies
• Identify the expectation of command words (use Command Word Guide) • Ensure the content is taught at the relevant cognitive level • Identify necessary content required (skills + concepts) • Review past paper questions on the concept • Utilise the resource guide for additional materials	• Story Board • Cause and Effect • Fish and Bone • Concept Mapping • Audio Visual Resources • Think, Pair and Share • Questioning Technique (Socratic approach) • Practical Demonstration ** For description of each Pedagogy, refer to Annexure A	• Past paper questions • Discussion on E-Marking Notes

Any Additional Suggestion: Candidates should be given practice of explaining each task in greater depth. It would improve their responses, for instance, when talking about particular fraud categories or how transaction fees affect profitability. It is important for candidates to make sure their responses address each of the three issues. To show that they have a solid grasp of the subject, candidates should present a thoughtful analysis of each problem.

*K = Knowledge U = Understanding A = Application and other higher-order cognitive skills

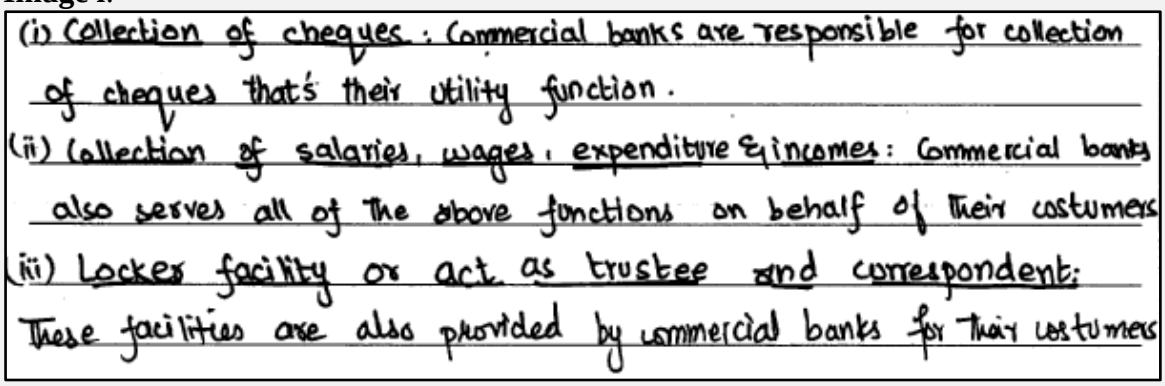
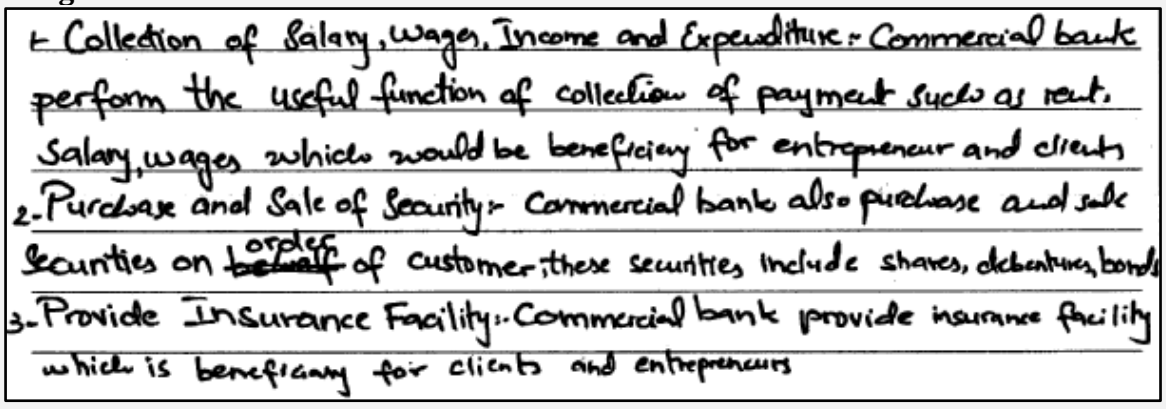
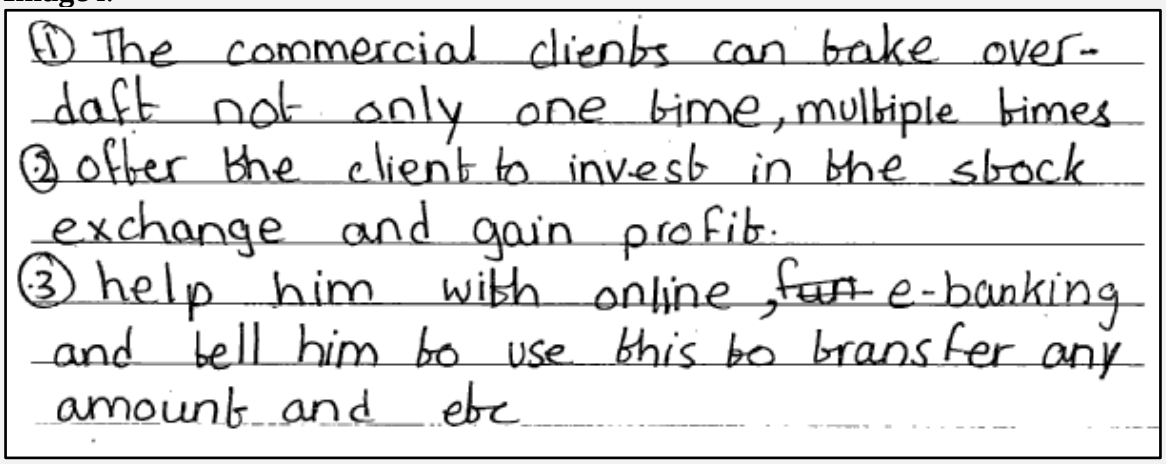
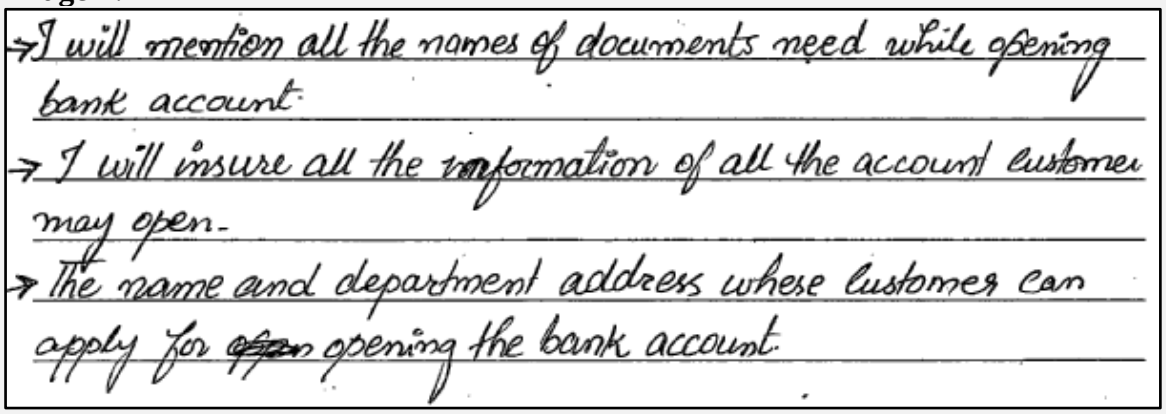
Question No. 2	
Question Text	Suppose yourself as a bank account opening officer. You are assigned by your management to develop a brochure for commercial clients and entrepreneurs. Mention any THREE different utility functions, which you will include in your brochure, that your commercial bank can offer to them.
SLO No.	2.3.2
SLO Text	Describe the utility functions performed by commercial banks, i.e. a. collection of cheques b. collection and payment of salaries, wages, incomes and expenditures c. purchase and sale of securities d. act as a trustee and correspondent e. provide locker facility f. provide insurance facility
Max Marks	3
Cognitive Level	U
Checking Hints	Give ONE mark for mentioning each utility function (THREE required).
Overall Performance	The overall performance differed greatly on this subject. Less marks were awarded to many candidates who were unable to submit any pertinent response. These responses lacked depth but did demonstrate some insight. A few candidates attained full marks and showed a deeper comprehension of the material, demonstrating a firm knowledge of the utility functions that banks can provide to entrepreneurs and commercial clients.
Description of Better Responses	Better responses correctly mentioned the utility functions that a bank could provide to business clients and entrepreneurs, such as the collection of cheques, buying and selling stocks, serving as a trustee or correspondent, and offering locker service. The benefits of each utility function provided to commercial clients were also explained in these responses. For example, they described how the use of locker facility aids in the security of cash or how the buying and selling of stocks aid in the organisation of finances and the resolution of financial issues.
Images of Better Responses	**Image i**:  (i) Collection of cheques : Commercial banks are responsible for collection of cheques that's their utility function. (ii) Collection of salaries, wages, expenditure & incomes: Commercial banks also serves all of the above functions on behalf of their costumers (iii) Lockes facility or act as trustee and correspondent: These facilities are also provided by commercial banks for their costumers

	Image ii:  1- Collection of Salary, Wages, Income and Expenditure:- Commercial bank perform the useful function of collection of payment such as rent, Salary, wages which would be beneficiary for entrepreneur and clients 2- Purchase and Sale of Security:- Commercial bank also purchase and sale Securities on ~~behalf~~ order of customer; these securities include shares, debentures, bonds 3- Provide Insurance Facility:- Commercial bank provide insurance facility which is beneficiary for clients and entrepreneurs
Description of Weaker Responses	Weaker responses listed functions other than the utility functions mentioned in the syllabus document. These responses either mentioned basic services like 'advancing loans' or 'accepting deposits' or listed secondary functions without explaining how these services specifically benefit commercial clients.
Images of Weaker Responses	**Image i**:  (1) The commercial clients can take over-daft not only one time, multiple times (2) offer the client to invest in the stock exchange and gain profit. (3) help him with online, ~~fun~~ e-banking and tell him to use this to transfer any amount and etc **Image ii**:  → I will mention all the names of documents need while opening bank account. → I will insure all the information of all the account customer may open. → The name and department address where customer can apply for ~~open~~ opening the bank account.

Suggestions for improvement (Highlight all that apply)

Maximising SLO Achievement	Preferred Pedagogy Used for this SLO	Assessment Strategies
• Identify the expectation of command words (use Command Word Guide) • Ensure the content is taught at the relevant cognitive level • Identify necessary content required (skills + concepts) • Review past paper questions on the concept • Utilise the resource guide for additional materials	• Story Board • Cause and Effect • Fish and Bone • Concept Mapping • Audio Visual Resources • Think, Pair and Share • Questioning Technique (Socratic approach) • Practical Demonstration	• Past paper questions • Discussion on E-Marking Notes

Any Additional Suggestion: To enhance student understanding of utility functions, teachers should encourage candidates to provide detailed explanations of each utility function. Candidates should focus on outlining the advantages of these functions for business clients and emphasise their importance to operations. This approach will deepen students' comprehension and application of utility functions in real-world contexts.

Question No. 3

Question Text

Al-Salam Bank offers a complete range of bank accounts (i.e., saving, current, fixed, basic banking accounts, foreign currency accounts and young saver accounts) to facilitate the different banking needs of its customers.

With reference to the given bank accounts, identify the offers each account provides to the users. (Attempt any THREE).

S. No.	Types of Bank Account	Suitability
1.	Basic banking account / current account	It offers for basic banking operations (salary transfer day-to-day operations) and do not offer any returns (interest).
2.	Saving account	
3.	Fixed account	
4.	Young saver account	
5.	Foreign currency account	

SLO No.	2.2.4
SLO Text	Describe the kinds of bank accounts (saving, current, fixed, basic banking account and young saver account);
Max Marks	3
Cognitive Level	U
Checking Hints	Give ONE mark for identifying an offer provided by each account (THREE required).
Overall Performance	The overall performance on this question was strong. Most candidates were able to accurately identify and describe the offers provided by different types of accounts, achieving full marks. A significant number of candidates demonstrated a good understanding but missed some details, resulting in 2 marks. A smaller group provided only partial responses or minimal details, earning fewer marks.
Description of Better Responses	Better responses covered all three types of accounts mentioned in the question. Each account was described thoroughly, showing a clear understanding of their different features and benefits. For example, they explained that fixed accounts offer higher interest rates for longer terms, while foreign currency accounts provide protection against currency fluctuations.
Images of Better Response	**Image i**:

S.No.	Types of Bank Account	Suitability
1.	Basic banking account / current account	It offers for basic banking operations (salary transfer day-to-day operations) and do not offer any returns (interest).
2.	Saving account	It give you interest onyour deposit and you can withdraw limited amount of cash and it is basically for salaried person
3.	Fixed account	Your amount will fixed for some time and provide higher interest compare to other account and you can't withdraw your amount would be fixed.
4.	Young saver account	This is account for people who are under 18. This account created for them to save money that they get from parent and withdraw limited amount.
5.	Foreign currency account	

Image ii:

S.No.	Types of Bank Account	Suitability
1.	Basic banking account / current account	It offers for basic banking operations (salary transfer day-to-day operations) and do not offer any returns (interest).
2.	Saving account	A sufficient amount is deposited and a % of interest is applied every month.
3.	Fixed account	A fixed amount is deposited every month and interest is gained.
4.	Young saver account	Children below 18 age save their pocket money and can withdraw it anytime.
5.	Foreign currency account	Foreign exchange is transfered into native currency & is used for transfering outside

Description of Weaker Responses	Weaker responses included only partial descriptions or missed out on some account types. For instance, they described offers for savings and fixed accounts but neglected young saver and foreign currency accounts. These responses included vague or general statements without specific details about what each account type offers.
Images of Weaker Response	Image i:

S.No.	Types of Bank Account	Suitability
1.	Basic banking account / current account	It offers for basic banking operations (salary transfer day-to-day operations) and do not offer any returns (interest).
2.	Saving account	Saving Acc is for whom, who want their money to save and get interest on it.
3.	Fixed account	Fixed is like you deposit in the bank & whenever you want you can withdraw easily.
4.	Young saver account	this acc is for (minors) in this only security is deducted not any rate.
5.	Foreign currency account	

Image ii:

S.No.	Types of Bank Account	Suitability
1.	Basic banking account / current account	It offers for basic banking operations (salary transfer day-to-day operations) and do not offer any returns (interest).
2.	Saving account	it offers for saving account operations like saving in or saving money
3.	Fixed account	it offers for have fixed account operation like fixed one and only account
4.	Young saver account	
5.	Foreign currency account	foreign currency means it comes from foreign country currency.

Suggestions for improvement (Highlight all that apply)

Maximising SLO Achievement	Preferred Pedagogy Used for this SLO	Assessment Strategies
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Any Additional Suggestion: Candidates should improve by providing more detailed descriptions of the offers for each account type. For example, they should explain the interest rates, terms, and additional benefits of each account in more depth. Proper reading of the question and textbook, along with regular reinforcement, is essential for achieving better grades.		

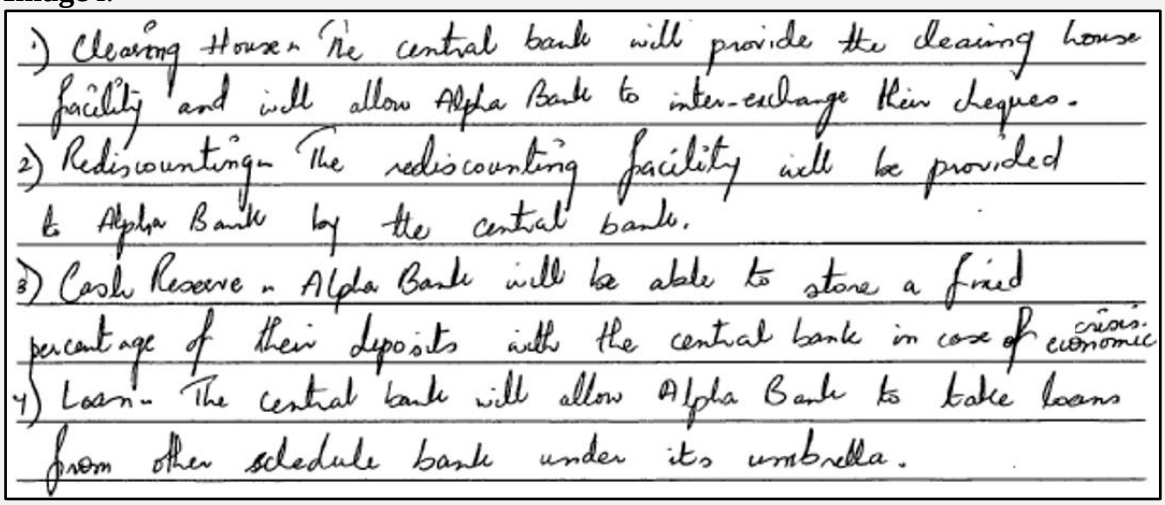
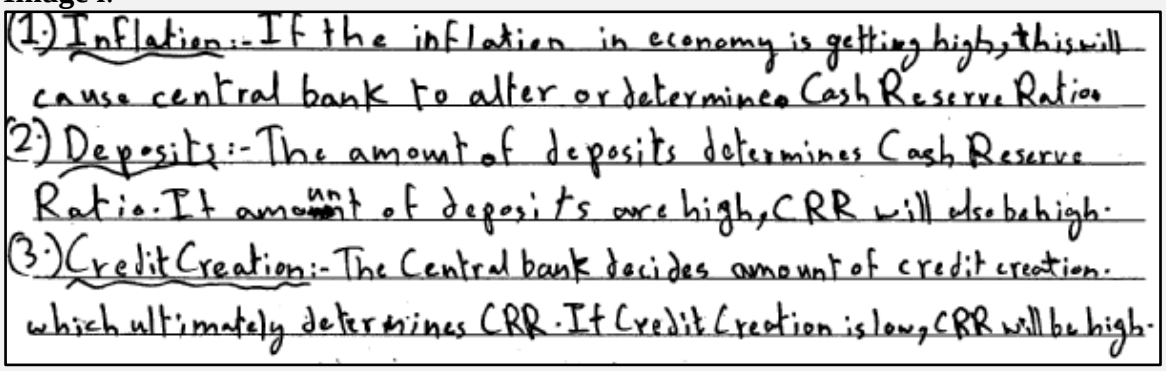
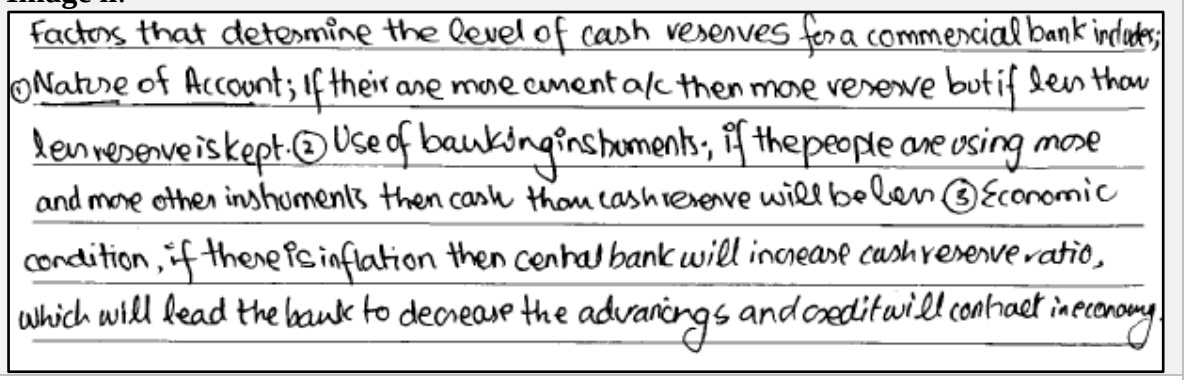
Question No. 4	
Question Text	Central bank is crucial to national economy, controlling monetary policy to regulate and supervise commercial banking systems. Suppose Alpha Bank is registered as a commercial bank with the central bank. Which FOUR facilities the central bank will provide to this commercial bank?
SLO No.	3.2.2
SLO Text	Explain the facilities provided by central bank to commercial banks as banker's bank, i.e. a. advance the loans to commercial banks b. rediscount the bills of exchange c. provide guidance and counseling to commercial bank d. lender to the last resort e. assist other financial institutions f. clearing house g. credit creation h. interbank offer rate (e.g. KIBOR and LIBOR);
Max Marks	4
Cognitive Level	U
Checking Hints	Give ONE mark for each service provided by the central bank to commercial bank (FOUR required).
Overall Performance	The overall performance on this question was quite good. Most candidates were able to identify and describe all four facilities that the central bank provides to commercial banks, achieving good marks. A moderate number of candidates either provided partial responses or minimal information, earning fewer marks.
Description of Better Responses	Better responses covered all four facilities thoroughly, demonstrating a strong understanding of the role of the central bank. These responses included detailed explanations of each facility. For example, they explained how the central bank provides emergency loans to commercial banks, helps in the clearing of interbank transactions, ensures regulatory compliance, and adjusts interest rates to influence economic activity.
Images of Better Response	**Image i**:  1) Clearing House:- The central bank will provide the clearing house facility and will allow Alpha Bank to inter-exchange their cheques. 2) Rediscounting:- The rediscounting facility will be provided to Alpha Bank by the central bank. 3) Cash Reserve:- Alpha Bank will be able to store a fixed percentage of their deposits with the central bank in case of crisis. economic 4) Loan:- The central bank will allow Alpha Bank to take loans from other schedule bank under its umbrella.

	Image ii: 1) Central bank will provide the facility of clearing house for Alpha Bank 2) Central bank will also be the lender of last resort for Alpha Bank 3) Central will also help in ~~sure~~ securing Alpha Banks cash reserves 4) Central Bank will provide the monetary policy ~~wh~~ which the commercial bank will have to follows
Description of Weaker Responses	Weaker responses provided minimal information about the facilities. For instance, they briefly stated that the central bank provides 'support' but did not specify how or in what form. Many of these responses were too broad or vague, lacking specific examples or clear descriptions of how each facility operates or benefits commercial banks.
Images of Weaker Response	**Image i**: • Central bank will give Currency notes to Commercial bank as Commercial bank issue loans to public. • Secondly Security will be provided to the Commercial bank because of so much Cash. • Thirdly ~~f~~ Utility bills will be provided. • Lastly **Image ii**: Commerical bank is registed as with the central bank - Central bank it provide his Seriver and when they money the want it. Commerical bank need every thing regard to banks and go to Central bank Certain money and Seriver. Central bank will provide national economy & monetary policy to Commercial bank.

Suggestions for improvement (Highlight all that apply)

Maximising SLO Achievement	Pedagogy Used for that SLO	Assessment Strategies
• Identify the expectation of command words (use Command Word Guide) • Ensure the content is taught at the relevant cognitive level • Identify necessary content required (skills + concepts) • Review past paper questions on the concept • Utilise the resource guide for additional materials	• Story Board • Cause and Effect • Fish and Bone • Concept Mapping • Audio Visual Resources • Think, Pair and Share • Questioning Technique (Socratic approach) • Practical Demonstration	• Past paper questions • Discussion on E-Marking Notes
Any Additional Suggestion: Candidates should improve by offering more detailed explanations of each facility. They should describe how each facility functions and its importance to commercial banks, such as the nature of emergency loans and the role of the central bank in supervising financial institutions.		

Question No. 5	
Question Text	Describe any THREE factors that determine the level of cash reserve for a commercial bank at the central bank to counter the economic fluctuations.
SLO No.	3.2.6
SLO Text	Explain the factors that result in fluctuation of cash reserves at central bank;
Max Marks	3
Cognitive Level	U
Checking Hints	Give ONE mark for describing each factor (THREE required).
Overall Performance	The overall performance on this question was mixed. Many candidates were unable to provide a relevant response. On the other hand, a good number of candidates scored the maximum marks, demonstrating a strong understanding of the factors that influence the cash reserves a commercial bank must hold. The distribution of marks suggests that while a significant portion of candidates performed well, many struggled with this question.
Description of Better Responses	Better responses included clear and precise explanations of how each factor influences cash reserve levels. Candidates who earned full marks identified and explained three relevant factors that determine the cash reserve levels of a commercial bank. These factors typically included economic conditions, the number of deposits, the type of bank account, regulatory requirements, and liquidity needs.
Images of Better Response	**Image i**:  (1.) Inflation:- If the inflation in economy is getting high, this will cause central bank to alter or determine Cash Reserve Ratio (2.) Deposits:- The amount of deposits determines Cash Reserve Ratio. If amount of deposits are high, CRR will also be high. (3.) Credit Creation:- The Central bank decides amount of credit creation. which ultimately determines CRR. If Credit Creation is low, CRR will be high. **Image ii**:  Factors that determine the level of cash reserves for a commercial bank include; (1) Nature of Account; If their are more current a/c then more reserve but if less than less reserve is kept. (2) Use of banking instruments, if the people are using more and more other instruments then cash than cash reserve will be less (3) Economic condition, if there is inflation then central bank will increase cash reserve ratio, which will lead the bank to decrease the advancings and credit will contract in economy.
Description of Weaker Responses	Most of the candidates who scored lower marks failed to identify three distinct factors or provided responses that did not fully address the question. Some responses were incomplete or off-topic. Weaker responses showed a fundamental misunderstanding of the economic concepts related to cash reserves, leading to incorrect or irrelevant information like business loss and interbank transactions.
	Image i:

Images of Weaker Response

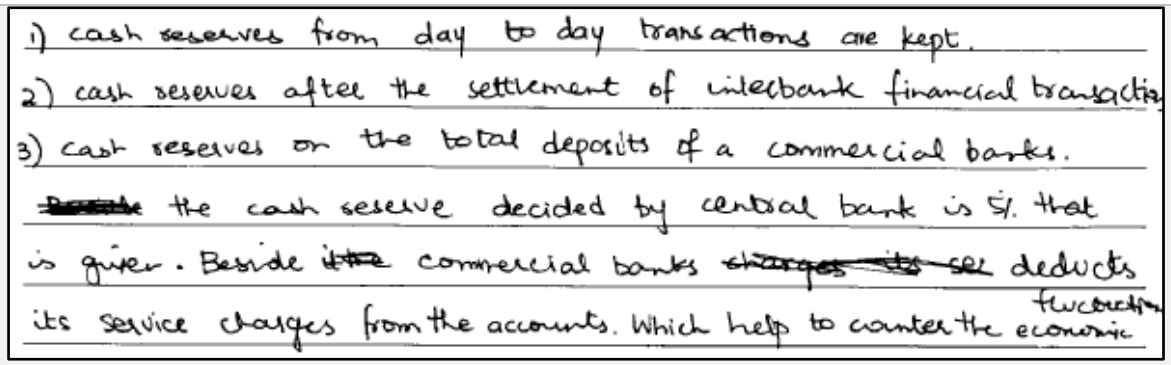
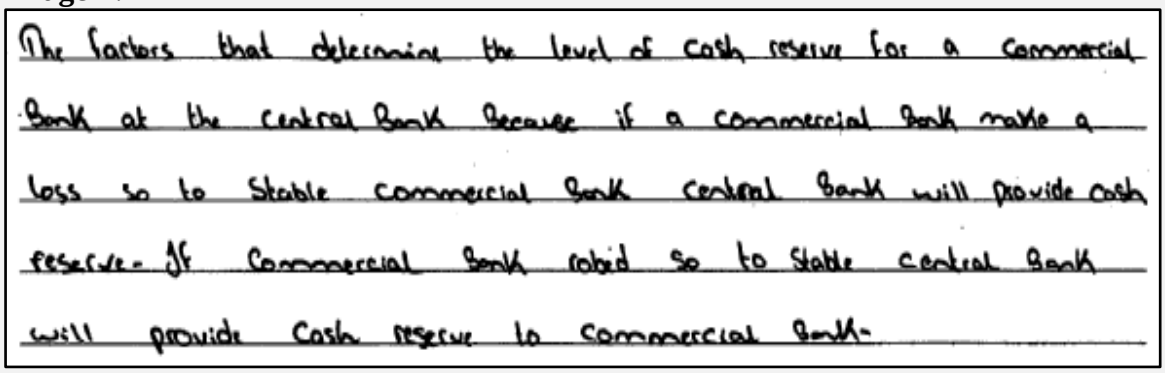

1) cash reserves from day to day transactions are kept.
2) cash reserves after the settlement of interbank financial transactio
3) cash reserves on the total deposits of a commercial banks.
[redacted] the cash reserve decided by central bank is 5%. that is given. Beside ~~itte~~ commercial banks ~~charges its~~ see deducts its service charges from the accounts. Which help to counter the economic fluctuation

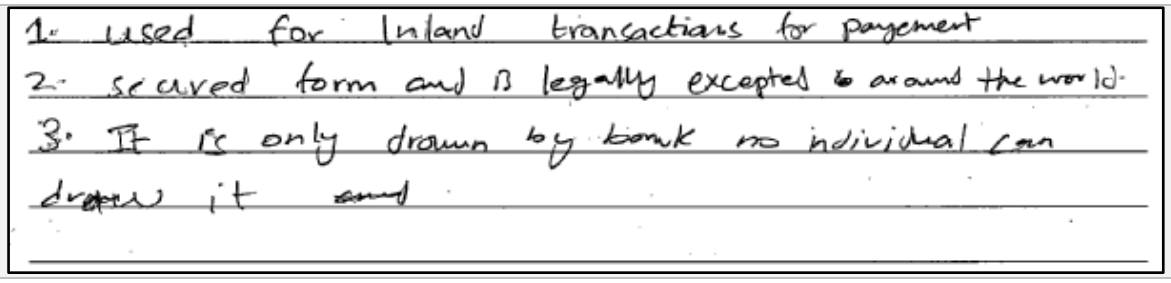
Image ii:


The factors that determine the level of cash reserve for a Commercial Bank at the Central Bank because if a commercial bank make a loss so to Stable commercial Bank central Bank will provide cash reserve. If Commercial Bank robid so to Stable central Bank will provide Cash reserve to commercial Bank.

Suggestions for improvement (Highlight all that apply)

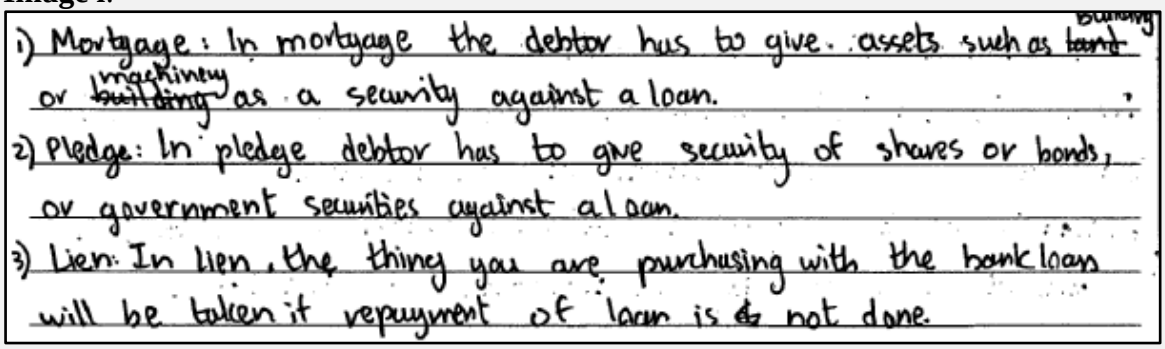
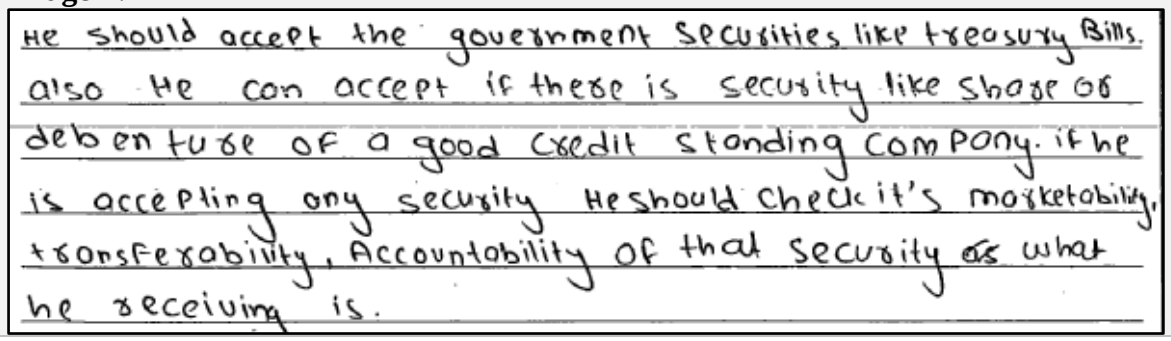
Maximising SLO Achievement	Preferred Pedagogy Used for this SLO	Assessment Strategies
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Any Additional Suggestion: Candidates should ensure they fully understand the question and its requirements. Practicing questions on similar topics and reviewing concepts related to cash reserves would help in this regard. More practice with past exam questions and sample responses could help candidates become more familiar with the types of responses expected and improve their ability to articulate their thoughts clearly and accurately.		

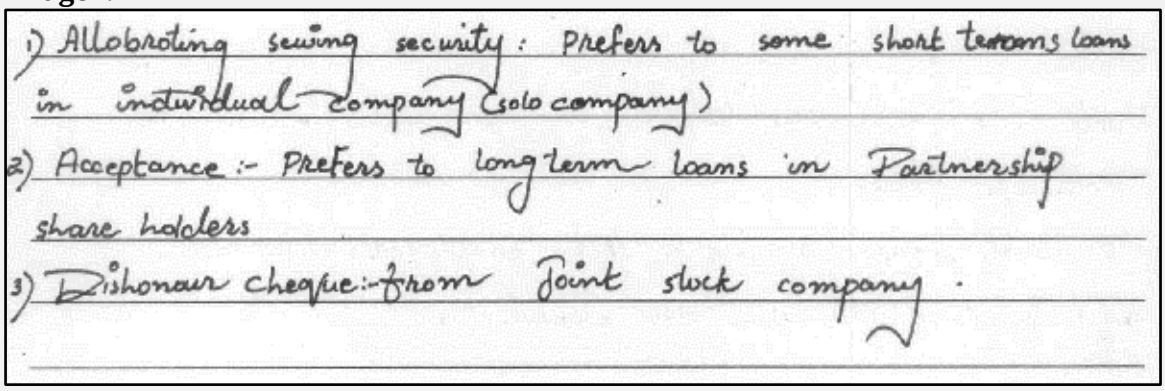
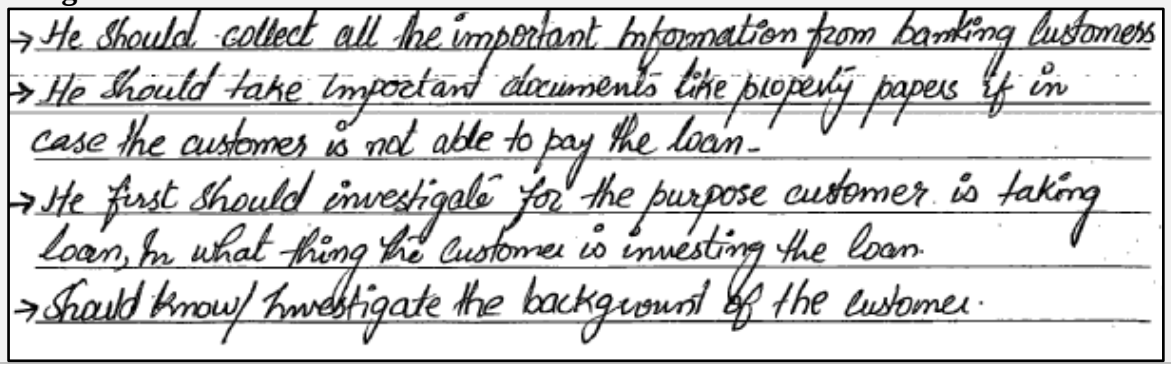
Question No. 6	
Question Text	Explain any THREE essentials of a Bill of Exchange (BOE).
SLO No.	4.2.12
SLO Text	Explain essential features of a bill of exchange (BOE);
Max Marks	3
Cognitive Level	U
Checking Hints	Give ONE mark for explaining each essential feature of bill of exchange (THREE required).
Overall Performance	The overall performance on this question was varied. A significant number of candidates did not respond to the question correctly, receiving fewer marks. This suggests a lack of understanding of the concept or familiarity with the essentials of a Bill of Exchange. Conversely, a notable number of candidates achieved good marks, indicating a strong grasp of the topic.
Description of Better Responses	Candidates who scored full marks correctly identified and explained three essential elements of a Bill of Exchange. Common essentials include that it is a written document, itis an unconditional order, it is signed by the maker, and the amount on the instrument must be certain, among others.
Images of Better Response	**Image i**: 1- Must Written Order:- BOE is a written order from seller to buyer, which is an evidence of trade, oral order is not considered as bill of Exchange 2- Negotiabile:- Bill of Exchange is a negotiable instrument which makes it easier for its transferability from one person to another 3- Acceptance Necessary:- In Bill of Exchange acceptance of drawee is necessary due to which drawee become legally bound to pay the bill. **Image ii**: * It is "Written form document which is made to get a ~~doc~~ payment Itais Unconditional order to give payment to its ~~cust~~ payee. the BOE must be accepted by all the parties involved in it. the bill of exchange have right to endorse it. the many parties involve in it but basic are drawer, drawee, Payee. the notice of dishonour should be given in BOE. the grace days will be given in BOE for making Payments until then 'll face legal Consequences.
Description of Weaker Responses	Most candidates did not understand the requirement of the question. Instead of mentioning the essential features of a Bill of Exchange (BOE), they explained points such as it being a mode of deferred payment, including details of goods purchased, its parties, and its role as a secure mode of payment. Some responses demonstrated a fundamental misunderstanding of what constitutes a BOE, leading to incorrect or irrelevant explanations.
Images of Weaker Response	**Image i**: 1) When the buyer will pay (time & and day) 2) Signatures of the creditors. 3) Details of buyer and the product (quality, quantity, type) **Image ii:**



Suggestions for improvement (Highlight all that apply)

Maximising SLO Achievement	Preferred Pedagogy Used for this SLO	Assessment Strategies
• Identify the expectation of command words (use Command Word Guide) • Ensure the content is taught at the relevant cognitive level • Identify necessary content required (skills + concepts) • Review past paper questions on the concept • Utilise the resource guide for additional materials	• Story Board • Cause and Effect • Fish and Bone • Concept Mapping • Audio Visual Resources • Think, Pair and Share • Questioning Technique (Socratic approach) • Practical Demonstration	• Past paper questions • Discussion on E-Marking Notes
Any Additional Suggestion: Candidates should focus on understanding the fundamental aspects of a Bill of Exchange. Reviewing definitions and key components thoroughly will help in responding to similar questions more effectively. Candidates should also pay close attention to the command words used in the question to ensure they meet the requirements. Practicing explaining concepts in their own words will help ensure clarity and depth.		

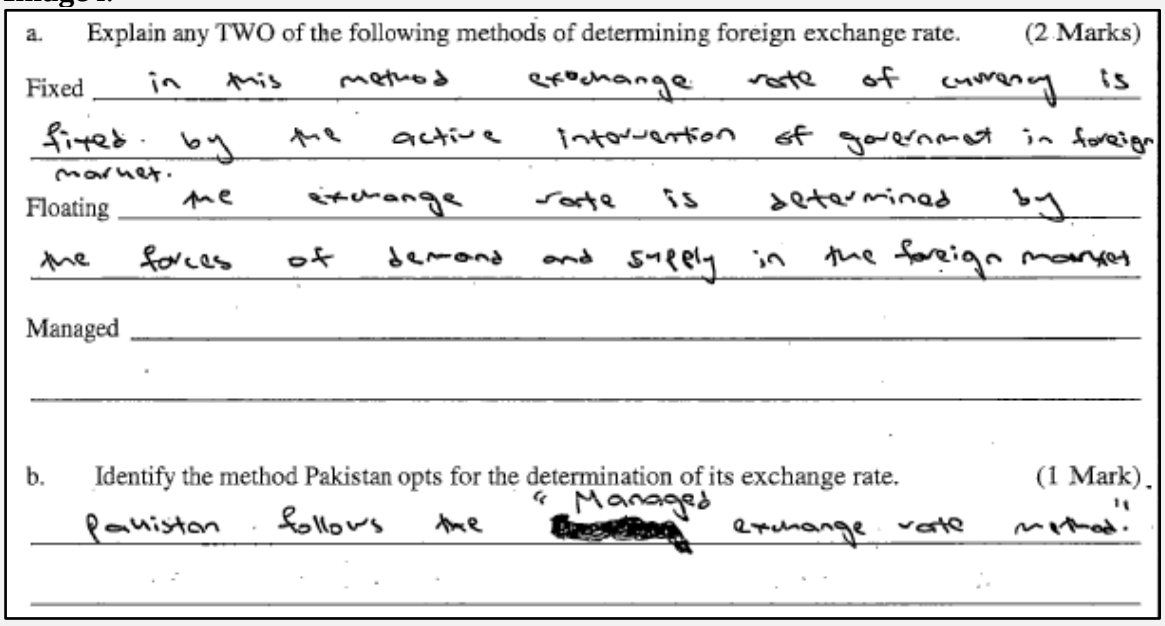
Question No. 7	
Question Text	Junaid Khan is a banking officer. He is responsible for advancing loans to banking customers against receiving the credentials and securities they offered. Elaborate any THREE essential security credentials he should consider while allotting a business finance.
SLO No.	5.3.5
SLO Text	Elaborate forms of collateral securities i.e. a. banker lien b. pledge c. mortgage d. indemnity e. charge f. marketable security g. document of title h. property i. negotiable instrument j. life insurance
Max Marks	3
Cognitive Level	U
Checking Hints	Give ONE mark for elaborating each credential of a good security (THREE required).
Overall Performance	The overall performance on this question was fairly balanced. While many candidates demonstrated a strong grasp of the topic by scoring good marks, a noticeable number struggled with the concept of security credentials.
Description of Better Responses	Better responses were able to understand the requirements of the question. These candidates correctly identified and elaborated on three crucial security credentials, which typically included collateral, personal guarantees, and liens on assets. Many of these responses also highlighted different credential documents required for good security, such as government documents, ownership documents, bank statements and financial statements.
Images of Better Response	**Image i**:  1) Mortgage: In mortgage the debtor has to give assets such as ~~land~~ building or ~~building~~ machinery as a security against a loan. 2) Pledge: In pledge debtor has to give security of shares or bonds, or government securities against a loan. 3) Lien: In lien, the thing you are purchasing with the bank loan will be taken if repayment of loan is ~~&~~ not done. **Image ii**:  He should accept the government securities like treasury Bills. also he can accept if there is security like share or debenture of a good credit standing company. if he is accepting any security He should check it's marketability, transferability, Accountability of that security as what he receiving is.

Description of Weaker Responses	Weaker responses failed to provide a complete or accurate description of the security credentials. Their responses were vague or off-topic and lacked the necessary detail. These responses showed a fundamental misunderstanding of essential security credentials, often including irrelevant details or incorrect information about the loan security process like dishonour credit instruments.
Images of Weaker Response	**Image i**:  1) Allobroting sewing security: Prefers to some short terrams loans in individual company (solo company) 2) Acceptance :- Prefers to long term loans in Partnership share holders 3) Dishonour cheque:-from Joint stock company. **Image ii**:  → He should collect all the important information from banking customers → He should take important documents like property papers if in case the customer is not able to pay the loan. → He first should investigate for the purpose customer is taking loan, in what thing the customer is investing the loan. → Should know/ Investigate the background of the customer.

Suggestions for improvement (Highlight all that apply)

Maximising SLO Achievement	Pedagogy Used for that SLO	Assessment Strategies
• Identify the expectation of command words (use Command Word Guide) • Ensure the content is taught at the relevant cognitive level • Identify necessary content required (skills + concepts) • Review past paper questions on the concept • Utilise the resource guide for additional materials	• Story Board • Cause and Effect • Fish and Bone • Concept Mapping • Audio Visual Resources • Think, Pair and Share • Questioning Technique (Socratic approach) • Practical Demonstration	• Past paper questions • Discussion on E-Marking Notes
Any Additional Suggestion: Candidates should focus on gaining a clear understanding of the key security credentials involved in business finance. Learning about concepts such as collateral, personal guarantees, and liens will help in accurately responding to similar questions.		

Question No. 8	
Question Text	a. Explain any TWO of the following methods of determining foreign exchange rate. Fixed Floating Managed b. Identify the method Pakistan opts for the determination of its exchange rate.
SLO No.	6.3.1
SLO Text	Explain methods of determining foreign exchange rate i.e. a. fixed b. floating c. managed;
Max Marks	3
Cognitive Level	U
Checking Hints	a. Give ONE mark for explaining each method of foreign exchange rate (TWO required). b. Give ONE mark for identifying the method of exchange rate opted by Pakistan.
Overall Performance	The overall performance on this question was fairly mixed. While a significant number of candidates achieved full marks by correctly explaining two methods and identifying Pakistan's exchange rate system, a considerable number of candidates scored lower marks, indicating a lack of relevant information or understanding.
Description of Better Responses	Better responses correctly explained two of the three methods for determining foreign exchange rates. They also identified the exchange rate method used by Pakistan, i.e., the managed system, where the currency value is primarily determined by market forces, but the central bank may intervene to stabilize or influence the currency.
Images of Better Responses	**Image i**:



a. Explain any TWO of the following methods of determining foreign exchange rate. (2 Marks)

Fixed in this method exchange rate of currency is fixed by the active intervention of government in foreign market.

Floating the exchange rate is determined by the forces of demand and supply in the foreign market

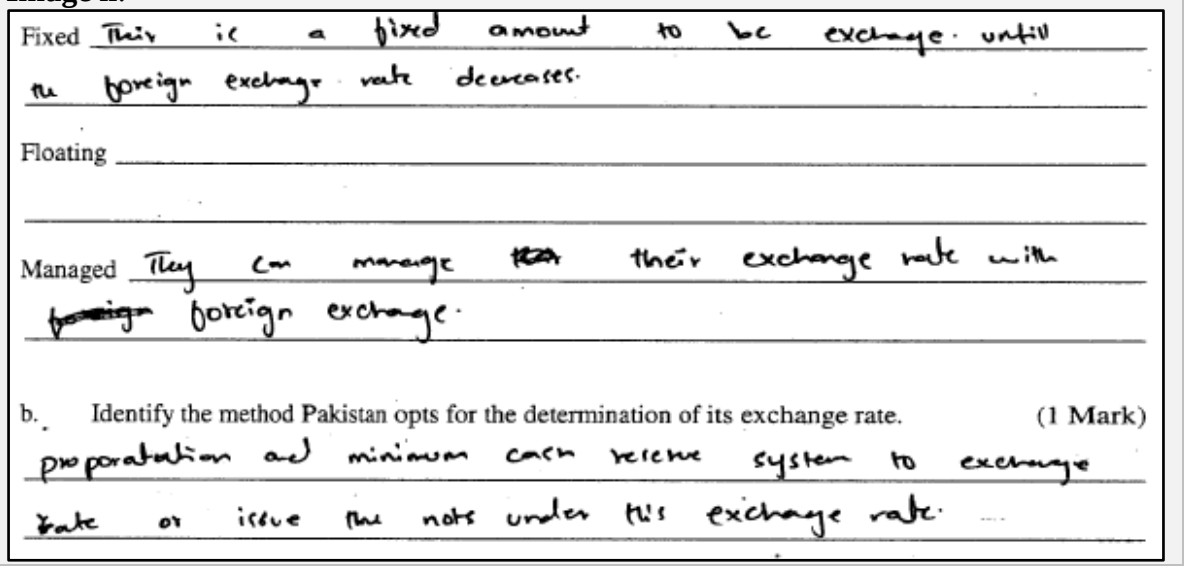
Managed

b. Identify the method Pakistan opts for the determination of its exchange rate. (1 Mark)

Pakistan follows the "Managed" exchange rate method.

	Image ii: a. Explain any TWO of the following methods of determining foreign exchange rate. (2 Marks) Fixed in this the method exchange rate is fixed to another currency, or basket of currencies. Floating In this method foreign exchange can be fluctuate due to market factors such as supply, demand e.t.c Managed (Dirty float) in this system of foreign exchange rate central bank interrens and managed it according to economic needs b. Identify the method Pakistan opts for the determination of its exchange rate. (1 Mark) ~~Floating~~ ~~Managed~~ Managed Exchange rate is followed in Pakistan
Description of Weaker Responses	Candidates who received lower marks often provided incomplete or incorrect explanations. They partially explained the methods or confused the concepts, leading to unclear or inaccurate statements. Moreover, these candidates failed to correctly identify the exchange rate system used by Pakistan.
Images of Weaker Response	**Image i**: a. Explain any TWO of the following methods of determining foreign exchange rate. (2 Marks) Fixed Fixed means only and one that is fixed exchange rate for having deposit in bank Floating Managed managed means everything is get organized by exchange rate and manged by foriegn exchange rate. b. Identify the method Pakistan opts for the determination of its exchange rate. (1 Mark) cash deposits or cash reserves in Pakistan. For exchange rate

Image ii:


Fixed Their is a fixed amount to be exchange until the foreign exchange rate decreases.

Floating

Managed They can manage ~~their~~ their exchange rate with ~~foreign~~ foreign exchange.

b. Identify the method Pakistan opts for the determination of its exchange rate. (1 Mark)

proportation and minimum cash reserve system to exchange rate or issue the note under this exchange rate.

Suggestions for improvement (Highlight all that apply)

Maximising SLO Achievement	Preferred Pedagogy Used for this SLO	Assessment Strategies
• Identify the expectation of command words (use Command Word Guide) • Ensure the content is taught at the relevant cognitive level • Identify necessary content required (skills + concepts) • Review past paper questions on the concept • Utilise the resource guide for additional materials	• Story Board • Cause and Effect • Fish and Bone • Concept Mapping • Audio Visual Resources • Think, Pair and Share • Questioning Technique (Socratic approach) • Practical Demonstration	• Past paper questions • Discussion on E-Marking Notes
Any Additional Suggestion: Highlighting their characteristics and implications. Use real-world examples to illustrate how each system operates in practice. Incorporate charts or graphs, to depict trends and comparisons between the systems.		

Question No. 9

Question Text

Differentiate between Islamic banking and conventional banking.

S. No.	Islamic Banking	Conventional Banking
1		
2		
3		

SLO No. 7.1.10

SLO Text

Differentiate between:
a. Islamic banking and conventional banking
b. modaraha and mushrika;

Max Marks 3

Cognitive Level U

Checking Hints Give ONE mark for each correct differentiation (THREE required).

Overall Performance

The performance on this question was generally strong. Most candidates demonstrated a good understanding by scoring good marks. This indicates that most candidates were able to differentiate between Islamic banking and conventional banking effectively. However, a smaller group of candidates received lower marks, showing that they either did not understand the differences or were unable to articulate them.

Description of Better Responses

Candidates who scored full marks clearly identified and explained the key differences between Islamic and conventional banking. They typically highlighted aspects such as the prohibition of interest (riba) in Islamic banking versus its acceptance in conventional banking, and the emphasis on profit-sharing and risk-sharing in Islamic banking compared to fixed interest-based returns in conventional banking.

Images of Better Responses

Image i:

S.No.	Islamic Banking	Conventional Banking
1.	Riba/interest is not allowed in islamic banking	Interest is main essential in each type of conventional banking (except current)
2.	Profit and loss are shared according to agreed ratio by both parties	Only the customer bears profit and loss in ~~islamic~~ conventional banking.
3.	Islamic banking complies will all Shariah rules of finance	Conventional banking may not comply with each and every Shariah rule.

Image ii:

S.No.	Islamic Banking	Conventional Banking
1.	Interest free Banking system	offer Interest in financing
2.	It provide takaful that is halal acording to Islamic shariah	It provide Insurance policy with Interest
3.	It is base on profit loss Acount	It is base on certain Interest percentage offered by bank that increase

Description of Weaker Responses

Most of the weak responses lacked detail and did not fully explain the core principles of Islamic banking versus conventional banking. This often resulted in vague or general statements that did not clearly differentiate the two systems. Many of these responses showed a misunderstanding of the fundamental concepts behind each banking system. This included incorrect or mixed-up information about the principles of Islamic banking or conventional banking practices.

Images of Weaker Response

Image i:

S.No.	Islamic Banking	Conventional Banking
1.	This banking System is Based on Islamic	This banking System is for business uses.
2.	It is used for Islamic Purpuse like umrah hay Zakat usha etc	It is used only for business transactions.
3.	In This making System Interest is not taken	In this banking System it owns Intelest as well.

Image ii:

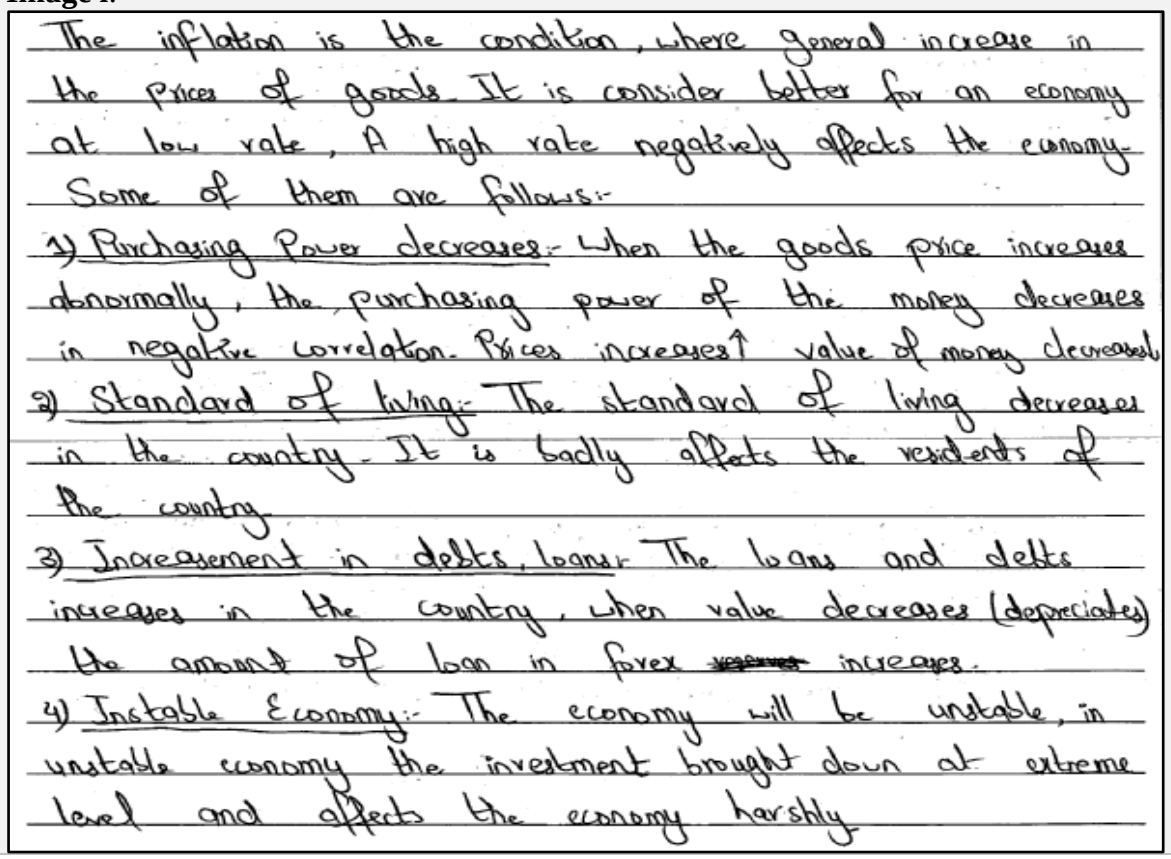
S.No.	Islamic Banking	Conventional Banking
1.	There is no interest taken on loans	Interest is taken on loans
2.	It works with businessesin daily operation	It doesn't work with other businessess
3.	It follows the "chayria" and principles of islam	It follows central bank principles.

Suggestions for improvement (Highlight all that apply)

Maximising SLO Achievement	Preferred Pedagogy Used for this SLO	Assessment Strategies
• Identify the expectation of command words (use Command Word Guide) • Ensure the content is taught at the relevant cognitive level • Identify necessary content required (skills + concepts) • Review past paper questions on the concept • Utilise the resource guide for additional materials	• Story Board • Cause and Effect • Fish and Bone • Concept Mapping • Audio Visual Resources • Think, Pair and Share • Questioning Technique (Socratic approach) • Practical Demonstration	• Past paper questions • Discussion on E-Marking Notes
Any Additional Suggestion: Teachers should encourage candidates to deepen their understanding of the core principles and practices of both Islamic and conventional banking. This should involve studying the ethical and financial principles that differentiate the two systems. Candidates should focus on improving their ability to provide detailed and specific comparisons, which will enhance the quality of their responses. Encouraging students to practice explaining key differences with relevant examples and clear explanations will further solidify their understanding.		

Extended Response Questions (ERQs)

Extended response questions offered a choice between parts 'a' and 'b'

Question No. 10 a	
Question Text	Many governments have set their central banks a target for a low but positive rate of inflation. They believe that persistently high inflation can have damaging economic and social consequences. Explain FOUR effects (either positive or negative) of inflation can bring to an economy.
SLO No.	6.5.7
SLO Text	Explain the effect of inflation and deflation on the balance of payments (BOP) of a developing country like Pakistan;
Max Marks	7
Cognitive Level	U
Checking Hints	Give ONE mark for mentioning each effect (Not more than 3 marks will be awarded for mentioning the impact). Give an additional mark for further explanation of each effect.
Overall Performance	The overall performance on this question was quite good, with a majority of candidates who attempted part a scored well. The distribution of marks indicates that most candidates understood the effects of inflation and were able to articulate them effectively. The majority of candidates scored between 5 and 7 marks, demonstrating a good grasp of the topic. However, a small number of candidates struggled and did not explain the effect of inflation resulting in lower marks.
Description of Better Responses	Better responses were well-organised and clearly presented, with each effect of inflation explained in a separate and coherent section. Most of the higher-scoring responses explained the negative effects rather than the positive effects. These responses included points like decrease in foreign currency reserves, the worsening standard of living and the decrease in purchasing power resulting in an increase in domestic demand.
Images of Better Responses	**Image i**: 

The inflation is the condition, where general increase in the prices of goods. It is consider better for an economy at low rate, A high rate negatively affects the economy. Some of them are follows:-

1) Purchasing Power decreases:- When the goods price increases abnormally, the purchasing power of the money decreases in negative correlation. Prices increases↑ value of money decreases↓

2) Standard of living:- The standard of living decreases in the country. It is badly affects the residents of the country.

3) Increasement in debts, loans:- The loans and debts increases in the country, when value decreases (depreciates) the amount of loan in forex ~~reserves~~ increases.

4) Instable Economy:- The economy will be unstable, in unstable economy the investment brought down at extreme level and affects the economy harshly.

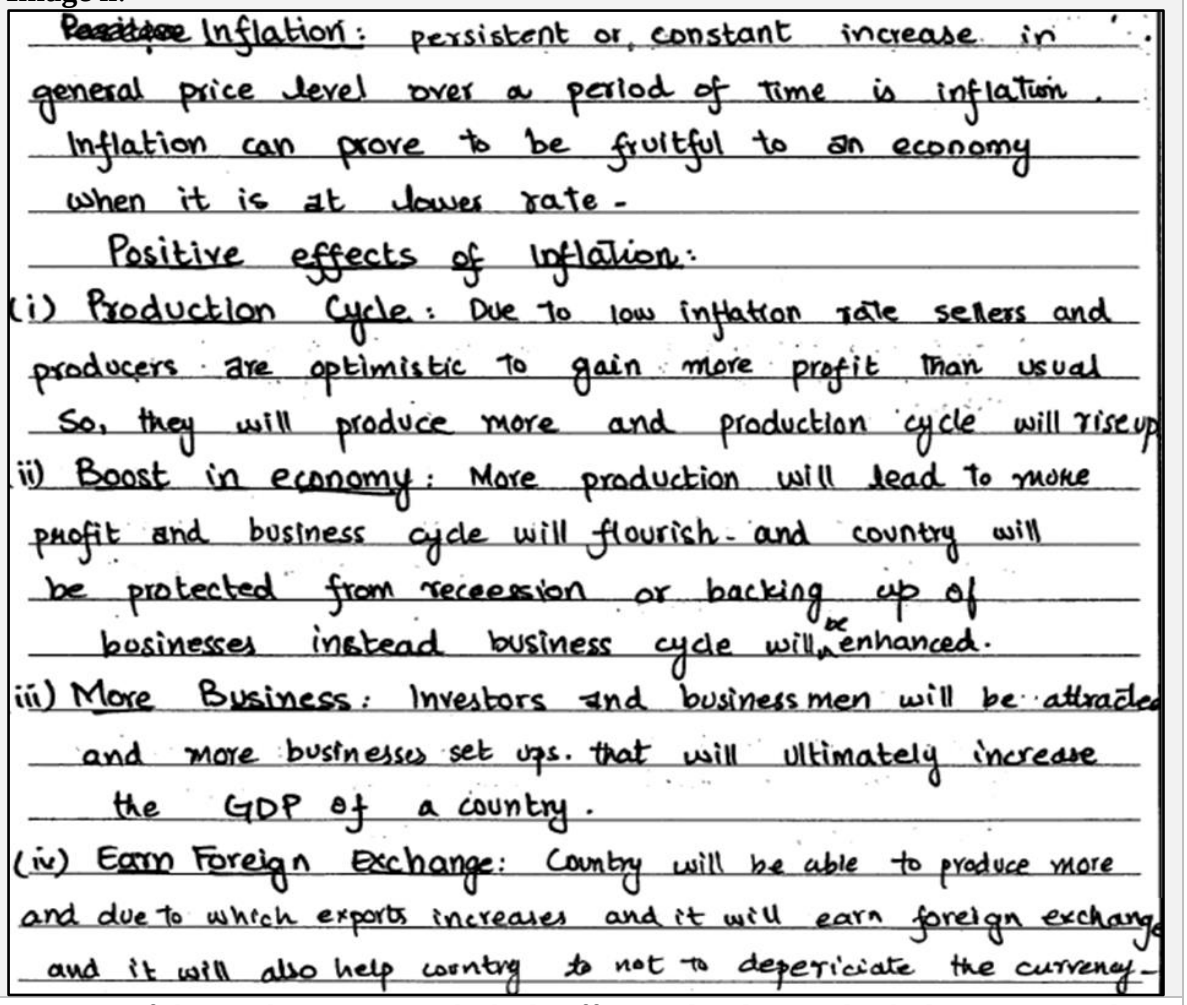
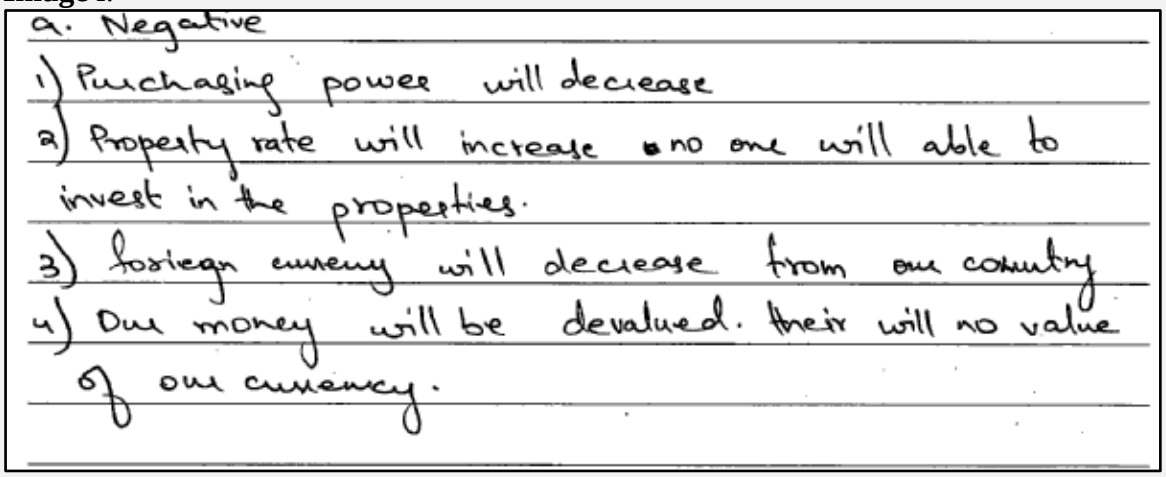
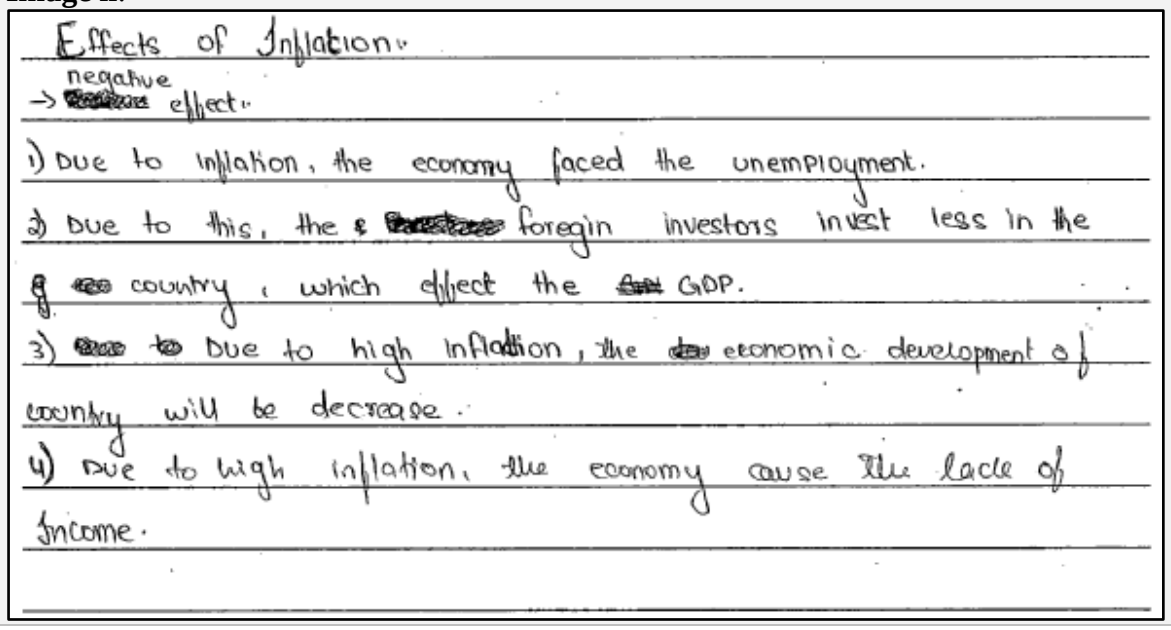
	Image ii:  Inflation: persistent or constant increase in general price level over a period of time is inflation. Inflation can prove to be fruitful to an economy when it is at lower rate - Positive effects of Inflation: (i) Production Cycle: Due to low inflation rate sellers and producers are optimistic to gain more profit than usual So, they will produce more and production cycle will rise up ii) Boost in economy: More production will lead to more profit and business cycle will flourish. and country will be protected from recession or backing up of businesses instead business cycle will be enhanced. iii) More Business: Investors and businessmen will be attracted and more businesses set ups. that will ultimately increase the GDP of a country. (iv) Earn Foreign Exchange: Country will be able to produce more and due to which exports increases and it will earn foreign exchange and it will also help country to not to depericiate the currency.
Description of Weaker Responses	Majority of the weaker responses lacked sufficient detail or in-depth descriptions. These responses listed or mentioned the impact without proper explanation. A few of these responses misunderstood the question and provided information about the effects of inflation without referring to the developing economy, which contributed to their lower scores.
Images of Weaker Response	**Image i**:  a. Negative 1) Purchasing power will decrease 2) Property rate will increase no one will able to invest in the properties. 3) foriegn currency will decrease from our country 4) Our money will be devalued. their will no value of our currency.

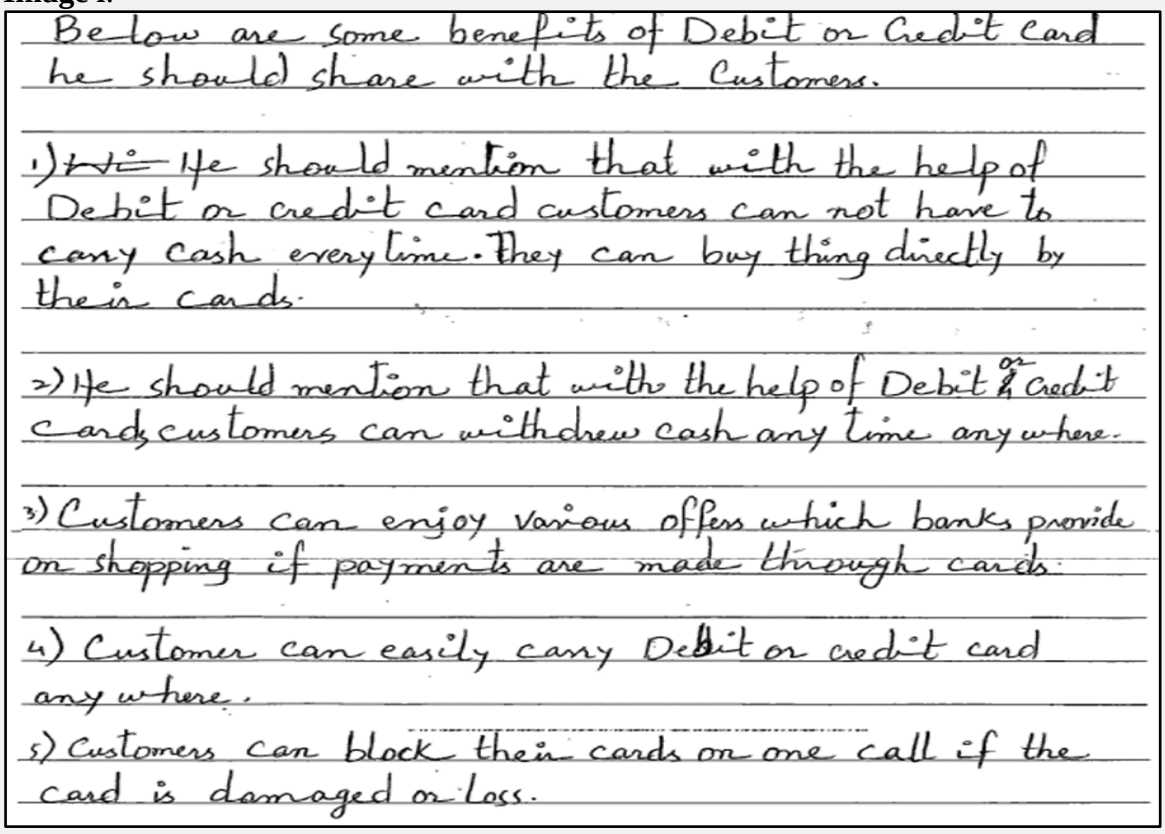
Image ii:



Suggestions for improvement (Highlight all that apply)

Maximising SLO Achievement	**Preferred Pedagogy Used for this SLO**	**Assessment Strategies**
• Identify the expectation of command words (use Command Word Guide) • Identify necessary content required (skills + concepts) • Review past paper questions on the concept • Utilise the resource guide for additional materials	• Story Board • Cause and Effect • Fish and Bone • Concept Mapping • Think, Pair and Share • Questioning Technique (Socratic approach) • Practical Demonstration	• Past paper questions • Discussion on E-Marking Notes
Any Additional Suggestion: To teach the effects of inflation on an economy, explain inflation and its impact on purchasing power, then have students research specific effects (e.g., erosion of purchasing power, savings, investment, and wages) in groups and present their findings.		

Question No. 10 b	
Question Text	Atif, a banking officer in the e-commerce department, aims to boost credit and debit card sign-ups. His task is to persuade in-person customers to apply for the bank's cards and meet sales targets. Suggest any FOUR benefits he should share with the customers to convince them to apply for a Debit or Credit card.
SLO No.	4.5.4
SLO Text	Evaluate the benefits and drawbacks of using debit card, credit cards and ATM cards.
Max Marks	7
Cognitive Level	U
Checking Hints	Give ONE mark for mentioning each benefit (Not more than 3 marks will be awarded for mentioning the benefits). Give an additional mark for further explanation of each benefit.
Overall Performance	The performance on this question was generally good, with a majority of candidates scoring well. Most candidates demonstrated a clear understanding of the benefits of debit and credit cards and were able to suggest relevant advantages that Atif could use to persuade customers. The distribution of marks shows that the majority of candidates scored between 5 and 7 marks, indicating a good grasp of the topic. However, a small number of candidates struggled with the question and scored lower marks.
Description of Better Responses	Better responses were well-organised, with each benefit clearly listed and explained in a structured manner. These responses included detailed explanations of why each benefit would appeal to customers and how it could be advantageous to them. They used persuasive language to highlight the attractiveness of the benefits, which would help Atif in his task of convincing customers. These responses highlighted benefits such as loyalty points/ discounts, portability of cards, safe and secure mode of payment, 24/7 availability of service, etc.
Images of Better Responses	**Image i**:



Below are some benefits of Debit or Credit card he should share with the Customers.

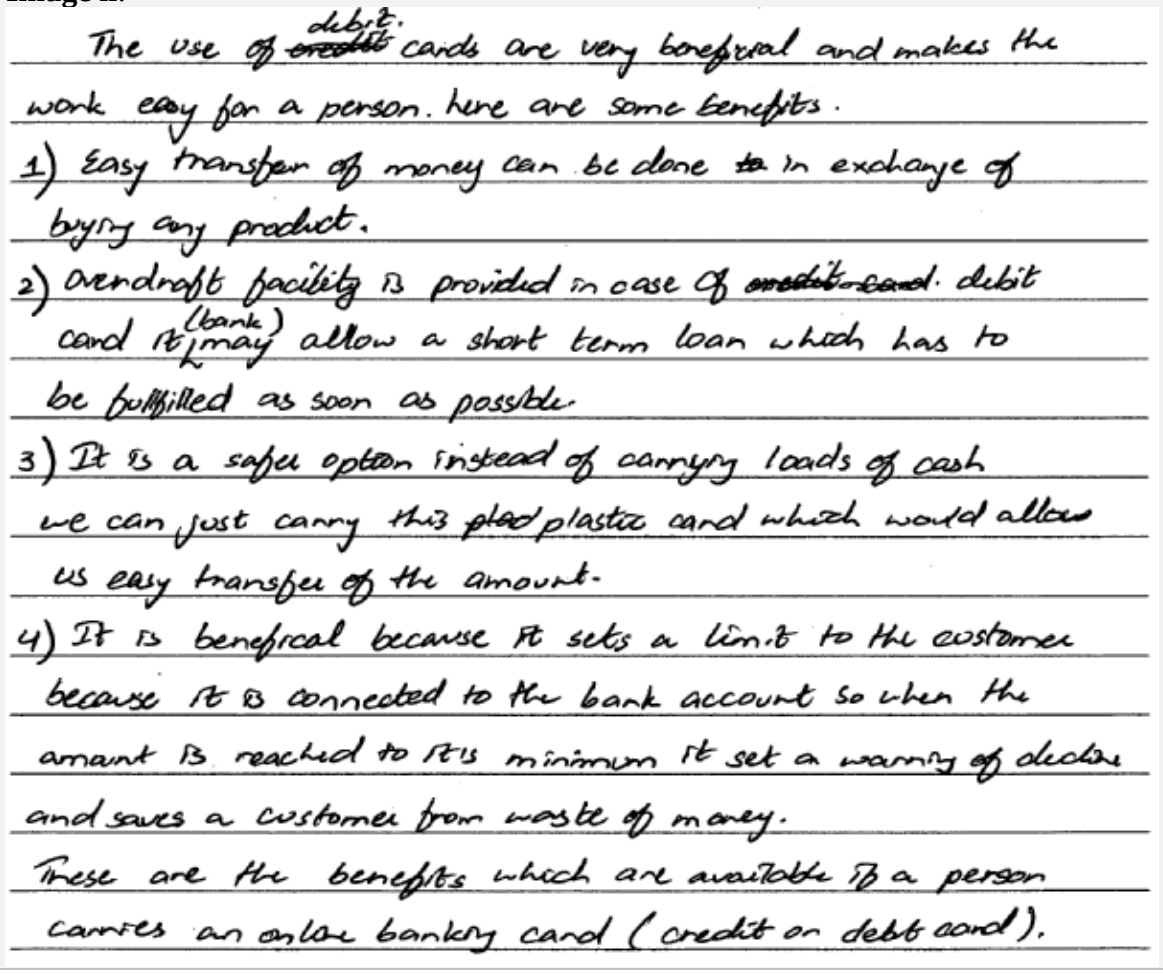
1) He should mention that with the help of Debit or credit card customers can not have to carry cash every time. They can buy thing directly by their cards.

2) He should mention that with the help of Debit or Credit cards, customers can withdrew cash any time any where.

3) Customers can enjoy various offers which banks provide on shopping if payments are made through cards.

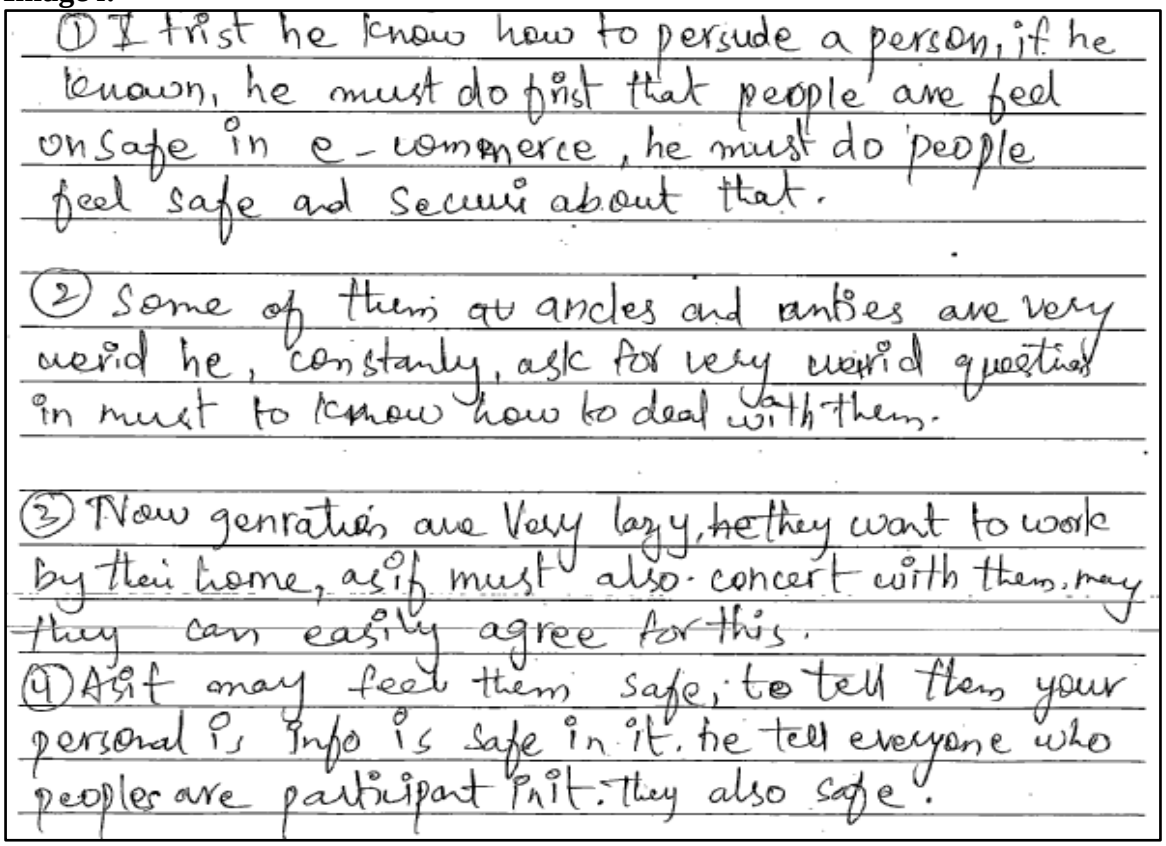
4) Customer can easily carry Debit or credit card any where.

5) Customers can block their cards on one call if the card is damaged or loss.

	Image ii:  The use of ~~credit~~ debit cards are very beneficial and makes the work easy for a person. here are some benefits. 1) Easy transfer of money can be done ~~to~~ in exchange of buying any product. 2) overdraft facility is provided in case of ~~credit card~~ debit card it (bank) may allow a short term loan which has to be fulfilled as soon as possible. 3) It is a safer option instead of carrying loads of cash we can just carry this ~~glad~~ plastic card which would allow us easy transfer of the amount. 4) It is beneficial because it sets a limit to the customer because it is connected to the bank account so when the amount is reached to it's minimum it set a warning of decline and saves a customer from waste of money. These are the benefits which are available to a person carries an online banking card (credit or debt card).
Description of Weaker Responses	Most of the weaker responses lacked detailed explanations of why the benefits would be appealing to customers, making the suggestions less convincing. A few candidates provided benefits that were not particularly relevant or accurate like benefits of e-commerce, resulting in lower marks.

Images of Weaker Response

Image i:



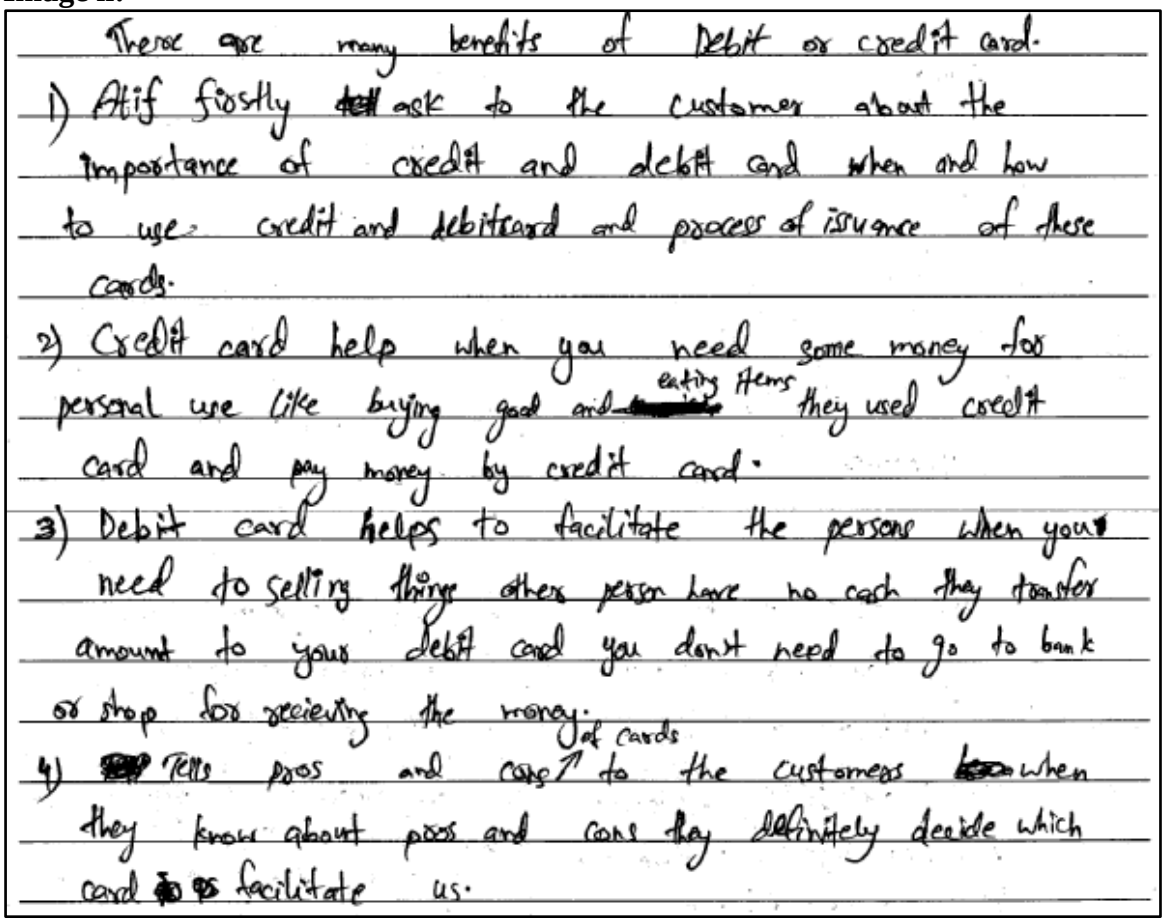
① I trist he know how to persude a person, if he knowon, he must do frist that people are feel onsafe in e-commerce, he must do people feel safe and secuni about that.

② Some of them qu ancles and ranbies are very weird he, constanly, ask for very weirid questins in must to know how to deal with them.

③ Now genratin are very lazy, he they want to work by their home, asif must also concert with them, may they can easily agree for this.

④ Asif may feel them safe, to tell them your personal is Info is safe in it. he tell everyone who peoples are participant Init. they also safe.

Image ii:



There are many benefits of Debit or credit card.

1) Atif firstly ~~tell~~ ask to the customer about the importance of credit and debit card when and how to use credit and debitcard and process of issuance of these cards.

2) Credit card help when you need some money for personal use like buying good and ~~eating~~ eating items they used credit card and pay money by credit card.

3) Debit card helps to facilitate the persons when your need to selling things others person have no cash they transfer amount to your debit card you dont need to go to bank or shop for recieving the money.

4) ~~Tells~~ Tells pros and cons of cards to the customess ~~when~~ when they know about pros and cons they definitely decide which card ~~to~~ to facilitate us.

Suggestions for improvement (Highlight all that apply)

Maximising SLO Achievement	Preferred Pedagogy Used for this SLO	Assessment Strategies
• Identify the expectation of command words (use Command Word Guide) • Ensure the content is taught at the relevant cognitive level • Identify necessary content required (skills + concepts) • Review past paper questions on the concept • Utilise the resource guide for additional materials	• Story Board • Cause and Effect • Fish and Bone • Concept Mapping • Audio Visual Resources • Think, Pair and Share • Questioning Technique (Socratic approach) • Practical Demonstration	• Past paper questions • Discussion on E-Marking Notes
Any Additional Suggestion: Teachers should encourage candidates to enhance the detail and explanation of each benefit related to debit and credit cards, making their responses more persuasive and informative. Candidates should ensure that the benefits they highlight are directly relevant to debit and credit cards and genuinely appealing to customers.		

Annexure A: Pedagogies Used for Teaching the SLOs

Pedagogy: Storyboard
Description: A visual pedagogy that uses a series of illustrated panels to present a narrative, encouraging creativity and critical thinking. It helps learners organise ideas, sequence events, and comprehend complex concepts through storytelling.
Example: In a Literature class, students are tasked with creating storyboards to visually retell a novel. They draw key scenes, write captions, and present their stories to the class, enhancing their reading comprehension and fostering their imagination.

Pedagogy: Cause and Effect
Description: This pedagogy explores the relationships between actions and consequences. By analysing cause-and-effect relationships, learners develop a deeper understanding of how events are interconnected and how one action can lead to various outcomes.
Example: In a History class, students study the causes and effects of the Industrial Revolution. They research and discuss how technological advancements in manufacturing led to significant societal changes, such as urbanisation and labour reform movements.

Pedagogy: Fish and Bone
Description: A method that breaks down complex topics into main ideas (the fish) and supporting details (the bones). This visual approach enhances comprehension by highlighting essential concepts and their relevant explanations.
Example: During a Biology class on human anatomy, the teacher uses the fish and bone technique to teach about the human skeletal system. Teacher presents the main components of the human skeleton (fish) and elaborates on each bone's structure and function (bones).

Pedagogy: Concept Mapping
Description: An effective way to visually represent relationships between ideas. Learners create diagrams connecting key concepts, aiding in understanding the overall structure of a subject and fostering retention.
Example: In a Psychology assignment, students use concept mapping to explore the various theories of personality. They interlink different theories, such as Freud's psychoanalysis, Jung's analytical psychology, and Bandura's social-cognitive theory, to see how they relate to each other.

Pedagogy: Audio Visual Resources
Description: Incorporating multimedia elements like videos, images, and audio into lessons. This approach caters to different learning styles, making educational content more engaging and memorable.
Example: In a General Science class, the teacher uses a documentary-style video to teach about the solar system. The video includes stunning visual animations of the planets, interviews with astronomers, and background music, enhancing students' interest and understanding of space.

Pedagogy: Think, Pair, and Share
Description: A collaborative learning technique where students ponder a question or problem individually, then discuss their thoughts in pairs or small groups before sharing with the entire class. It fosters active participation, communication skills, and diverse perspectives.
Example: In a Literature in English class, the teacher poses a thought-provoking question about a novel's moral dilemma. Students first reflect individually, then pair up to exchange their opinions, and finally participate in a lively class discussion to explore different viewpoints.

Pedagogy: Questioning Technique (Socratic Approach)
Description: Based on Socratic dialogue, this method stimulates critical thinking by posing thought-provoking questions. It encourages learners to explore ideas, justify their reasoning, and discover knowledge through a process of inquiry.
Example: In an Ethics class, the instructor uses the Socratic approach to lead a discussion on the meaning of justice. By asking a series of probing questions, the students engage in a deeper exploration of ethical principles and societal values.

Pedagogy: Practical Demonstration
Description: A hands-on approach where learners observe real-life applications of theories or skills. Practical demonstrations enhance comprehension, skill acquisition, and problem-solving abilities by bridging theoretical concepts with real-world scenarios.
Example: In a Food and Nutrition class, the instructor demonstrates the proper technique for filleting a fish. Students observe and then practice the skill themselves, learning the practical application of knife skills and culinary precision.

(**Note:** The examples provided in this annexure serve as illustrations of various pedagogies. It is important to understand that these pedagogies are versatile and can be applied across subjects in numerous ways. Feel free to adapt and explore these techniques creatively to enhance learning outcomes in your specific context.)

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These contributors include:

• Afreen Kanwal, Lead Specialist, Curriculum and Examination Development, AKU-EB

• Munira Muhammad, Lead Specialist, Assessment, AKU-EB

• Zain Muluk, Manager, Examination Development, AKU-EB

• Raabia Hirani, Manager, Curriculum Development, AKU-EB

• Dr Naveed Yousuf, CEO, AKU-EB